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Phison Electronics Corp | Asia Pacific

3Q26 gross margin miss; our conservative stance on Nand modules playing out

AlphaSignals Earnings Reaction

Weakens our thesis	Modest shortfall	Modest revision lower
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Looking back to our February downgrade note: In AI boosts NAND demand, but Asian module maker margins may soon compress, we noted that Phison's gross margin could decline in 2Q26 or 3Q26, once it ran out of low-cost inventory. While Phison's low-cost inventory cushioned the consumer Nand module margin downside, its overall NAND module margin started to miss in 3Q26, which means the AI storage part of its business (eSSD, and cSSD for AI PC, together 40% of revenue) may see margin decline.

Please see Exhibit 1 for our earnings review. The company's 3Q26 gross margin declined to 59%, below our 63.5% and the street's 60.3%, also missing the company's previous commentary about a sustainable gross margin in 3Q26 given its low cost inventory. The company hopes its AiDaptive module and service business can pick up and offset the margin pressure in the conventional module business in the coming quarters.

Exhibit 1: 2Q Earnings Review

	New			Mse		Consensus	
NT$ mn	3Q26	Q/Q	Y/Y	3Q26	Diff. %	3Q26	Diff. %
Net sales	86,076	27%	375%	84,013	2%	86,646	-1%
Gross profit	51,387	16%	774%	53,389	-4%	52,210	-2%
Operating profit	32,898	25%	2210%	31,744	4%	31,880	3%
Pretax Income	35,976	16%	1255%	33,382	8%	34,088	6%
Reported net income	30,548	17%	1272%	27,374	12%	28,691	6%
Reported EPS	**138.62**			**124.21**	**12%**	**129.81**	**7%**
Margins							
Gross margin	59.7%			63.5%		60.3%	
Operating margin	38.2%			37.8%		36.8%	
Pretax margin	41.8%			39.7%		39.3%	
Net margin	35.5%			32.6%		33.1%	

Source: Company data, Factset consensus estimates, Morgan Stanley Research estimates.

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Phison Electronics Corp (8299.TWO, 8299 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Equal-weight**
Industry View	**Attractive**
Price target	NT$2,588.00
Up/downside to price target (%)	73
Shr price, close (Nov 6, 2026)	NT$1,500.00
52-Week Range	NT$2,880.00-1,000.00
Sh out, dil, curr (mn)	204
Mkt cap, curr (mn)	NT$305,930
EV, curr (mn)	NT$287,361
Avg daily trading value (mn)	NT$12,062

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	39.70	372.94	132.16	56.37
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	36.85	420.00	338.77	224.54
Revenue, net (NT$ mn)	72,664	260,258	209,990	155,219
EBITDA (NT$ mn)	9,628	87,749	29,034	8,665
ModelWare net inc (NT $ mn)	8,743	82,188	29,125	12,422
P/E	36.5	4.0	11.3	26.6
P/BV	5.3	2.2	2.4	2.5
ROE (%)	17.8	136.7	21.1	9.9
EV/EBITDA	30.9	2.5	7.8	25.3
Div yld (%)	1.5	13.7	4.8	2.1
FCF yld ratio (%)**	2.6	22.2	10.0	7.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Phison Electronics Corp (8299.TWO)

Base case, residual income model. Key assumptions: a cost of equity of 9.0%, a medium-term growth rate of 9.0%, a terminal growth rate of 4.0%, and a dividend payout ratio assumption of 51.2%.

Risks to Upside

- Faster-than-expected eMMC controller IC outsourcing rate
- Faster SSD market growth
- Market share gain in ultrabooks and SSDs

Risks to Downside

- Weaker-than expected NAND demand
- Milder impact on global NAND supply
- Non-acceptance of price hikes on NAND modules

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(as of October 31, 2026)
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Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

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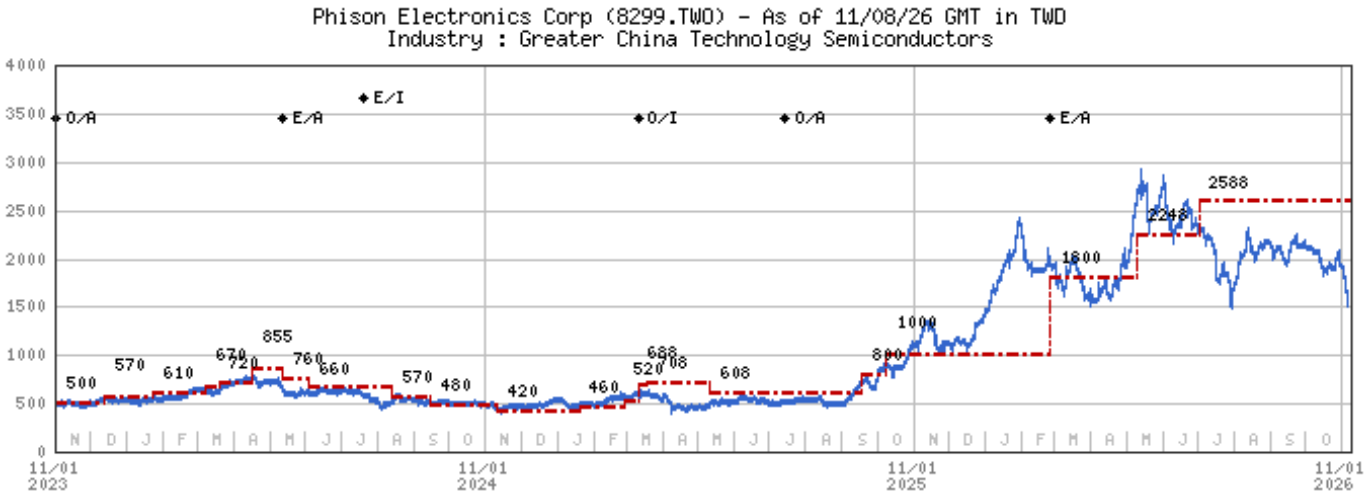
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Price Target History: 8/6/21 : 528; 11/5/21 : 418; 2/11/22 : 600; 6/10/22 : 520; 7/5/22 : 350; 7/30/22 : 335; 8/16/22 : 330; 11/4/22 : 290; 3/2/23 : 330; 4/11/23 : 470; 9/8/23 : 500; 12/13/23 : 570; 1/23/24 : 610; 3/8/24 : 670; 3/19/24 : 720; 4/16/24 : 855; 5/13/24 : 760; 6/4/24 : 660; 8/14/24 : 570; 9/15/24 : 480; 11/11/24 : 420; 1/20/25 : 460; 2/27/25 : 520; 3/11/25 : 688; 3/19/25 : 708; 5/12/25 : 608; 9/18/25 : 800; 10/9/25 : 1000; 2/25/26 : 1800; 5/11/26 : 2248; 7/2/26 : 2588

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/06/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$90.30
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$2,830.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$527.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb802.90
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb40.41
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$6,205.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$384.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$70.20
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$60.95
MediaTek (2454.TW)	O (11/28/2025)	NT$3,390.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb492.54
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$343.50
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,500.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb80.81
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$389.00
SMIC (0981.HK)	O (10/21/2025)	HK$45.58
TSMC (2330.TW)	O (02/07/2022)	NT$2,135.00
UMC (2303.TW)	O (05/19/2026)	NT$92.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$120.00
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$406.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$93.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb48.81

Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb93.65
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb23.77
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb189.50
Innoscience (2577.HK)	E (10/13/2025)	HK$25.92
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb52.51
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$22.12
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb77.20
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb81.86
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb69.71
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb50.40
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb18.24
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb73.41
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$608.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,160.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$11,375.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$79.10
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$115.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$1,885.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb159.60
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb239.49
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$8.49
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$75.80
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$183.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb150.10
Novatek (3034.TW)	U (02/04/2026)	NT$495.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$88.90
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$385.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$52.90
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$708.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb63.30
Silicon Motion (SIMO.O)	O (05/06/2024)	US$162.76
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$120.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT$90.20
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$185.50
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$44.61
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb254.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb52.33
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb560.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb86.60
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$864.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$360.50
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$512.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$3,675.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$206.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$3,445.00

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